Procurement Purchase Structuring Exercise

Senior Procurement and Commercials Manager

30 minutes total | AI use required | Maximum 300 words

Prepare one revised order that meets every requirement at the lowest total cost. Your 30 minutes include reading, AI use, calculations, writing, checking and uploading.

Business requirements

You need software for 80 employees across four teams:

- 12 employees need access throughout the working day.
- The other 68 use it occasionally, with no more than eight using it simultaneously.

Everyone needs an individual account and an audit trail. All teams use the same workflow and can share a workspace.

Supplier options

Item	Fixed price and rules
Named licence	$1,000 per year for one designated employee. Cannot be shared.
Concurrent licence	$2,400 per year per simultaneous user. Supports any number of registered individual accounts.
Setup	$2,000 once per workspace. A workspace can serve multiple teams.

Both licence types provide identical functionality and may be combined within one workspace. The supplier permits 12-month fixed-price contracts, paid annually, with renewal by mutual written agreement. No other charges apply. All amounts are USD.

Draft order and limits

1. Licensing: 80 named licences at $1,000 each annually.
2. Setup: Four workspaces at $2,000 each.
3. Term: Three years, with 10% annual price increases from Year 2 and automatic three-year renewal.

Your first-year budget is $60,000. Your maximum permitted commitment is 12 months.

Your submission

Submit one Word or PDF file, maximum 300 words in total. Rewrite the three order clauses, show the first-year total and savings against the draft order, and explain your chosen structure in two sentences.

Use AI for analysis. Add a short AI note naming the tool, one conclusion you checked, the case evidence or your own calculation used to check it, and what you retained or corrected. Include this note within the 300 words.

Use the supplied information for all facts and calculations. A calculator or spreadsheet is allowed. Prices are fixed; no supplier negotiation or external research is required.